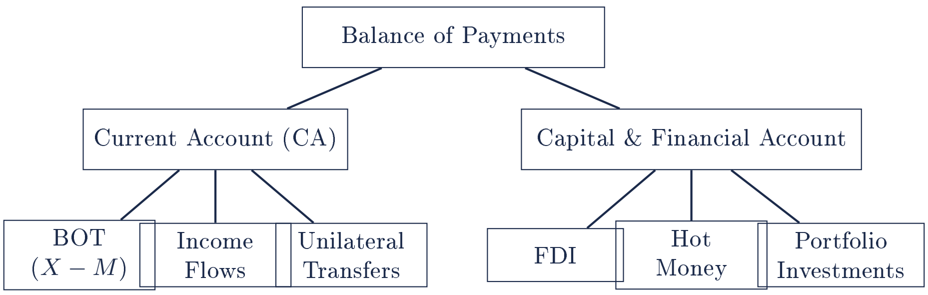
Document 16. Balance of Payments — Components, Causes & Consequences

Topic overview. The Balance of Payments (BOP) is a record of a country's international transactions between its residents and the rest of the world over a period of time. It consists of the Current Account (CA), the Capital and Financial Account (KA), and the Official Reserves Account (out of syllabus).

Section A. Important Definitions

BOP	Record of all international transactions between residents and the rest of the world.
Current Account (CA)	Balance of Trade $(X - M)$ + Income Flows (R, I, P, D) + Unilateral Transfers.
Balance of Trade	Visible (goods) + Invisible (services) balance.
Capital and Financial Account (KA)	FDI + Hot Money + Portfolio Investments.
FDI	Long-term capital flows; controlling ownership in a business by foreign entities. Generally beneficial.
Hot Money	Short-term capital flows seeking favourable interest rates; creates exchange rate volatility. Generally detrimental.
Portfolio Investments	Purchase of company shares or government bonds.
Surplus / Deficit	Overall positive / negative balance leads to accumulation / drawdown of FX reserves.

Section A1. Diagram — BOP Components Tree



Section B. BOP Terminologies

	Towards Singapore	Towards Other Countries
Description	Inflow / Credit	Outflow / Debit
Effect on SGD	$\uparrow DD_{SGD}$	$\uparrow SS_{SGD}$
Effect on BOP	Surplus	Deficit
Effect on FX reserves	Accumulation	Drawdown

Section C. Causes of Current Account Disequilibrium

Cyclical factors:

1. **Real national income of trading partners.** If partners experience recession, demand for Singapore exports falls (assuming $YED_x > 0$); X falls; CA worsens.

2. **Exchange rate.** Appreciation $\Rightarrow$ exports lose price competitiveness; assuming $PED_x > 1$ and $PED_m > 1$, X falls and M rises; $(X - M)$ falls; CA worsens. Depreciation has the opposite effect.

3. **Relative inflation rates.** Domestic inflation $>$ foreign $\Rightarrow$ exports lose competitiveness; X falls; switching to imports $\Rightarrow$ M rises.

Structural factors:

4. **Domestic affluence & income levels.** Rising income $\Rightarrow$ higher import demand (YED > 0); M rises; CA worsens.

5. **Increased industrialisation.** Heavy import of capital goods raises M.

6. **Protectionism.** Foreign tariffs reduce X.

7. **Loss of comparative advantage.** Cheaper foreign producers (China, India) erode export competitiveness.

8. **Supply shocks.** Wars and natural disasters reduce X and raise import of rebuilding capital goods.

Section D. Causes of Capital & Financial Account Disequilibrium

1. **Loss of comparative advantage (structural).** MNCs offshore to emerging economies; FDI outflows rise, inflows fall.

2. **Relative interest rates (cyclical).** Lower domestic rate $\Rightarrow$ hot money outflows; deficit. Higher domestic rate $\Rightarrow$ hot money inflows; surplus.

3. **Relative inflation rates (cyclical).** Higher domestic inflation $\Rightarrow$ negative investment climate; FDI inflows fall and outflows rise.

4. **Expected movements of exchange rates (cyclical).** Expected depreciation $\Rightarrow$ short-term speculators sell domestic currency $\Rightarrow$ hot money outflow; deficit. Expected appreciation $\Rightarrow$ inflow; surplus.

Section E1. Consequences of Current Account Deficit (costs)

- **Negative actual growth** due to fall in $(X - M)$; surpluses in economy; firms reduce production; multiplier effect; FX reserves drawn down.
- **Worsened sustained growth** due to fall in I; LRAS rises at decreasing rate; potential growth slows.
- **Cost-push (imported) inflation** from depreciation; PEDm < 1 for essentials.
- **Worsened cyclical unemployment** from lower AD; structural unemployment from imported labour-replacing tech.
- **Worsened allocative efficiency** due to budget constraints (debt servicing).
- **Worsened SOL** (material and non-material).

Section E2. Consequences of Current Account Deficit (benefits)

- **Improved future potential growth** if deficit caused by imports of capital goods (e.g. Singapore 1980s).
- **Reduced demand-pull inflation** in overheating economies.
- **Self-correcting BOP via depreciation** (long-run).

- **Improved material SOL** if caused by increased consumer goods imports.

Section F1. Consequences of Current Account Surplus (benefits)

- **Improved actual growth** due to rise in $(X - M)$; accumulation of FX reserves.
- **Improved sustained growth** via FDI confidence.
- **Reduced cost-push inflation** from appreciation lowering import costs.
- **Improved cyclical unemployment** from higher AD; **structural** via budget surplus funding retraining.
- **Improved allocative efficiency** via budget surplus.
- **Higher material and non-material SOL**.

Section F2. Consequences of Current Account Surplus (costs)

- **Slowdown in potential growth** if surplus caused by reduced imports of capital goods.
- **Worsened demand-pull inflation** in overheating economies.
- **Retaliation from trading partners** (e.g. US tariffs against China for alleged FX devaluation).
- **Self-correcting via appreciation**: X falls; reduced FDI in export sectors.
- **Worsened material SOL** if caused by reduced imports of consumer goods.

Section G1. Consequences of KA Deficit (costs)

- **Sustained growth worsens** via FDI outflows: $I\downarrow$, AD↓, multiplier effect; LRAS slows.
- **Hot money outflow** causes depreciation, exchange-rate volatility, falling investor confidence.
- **Cost-push inflation** via depreciation.
- **Cyclical unemployment** due to $I\downarrow$.
- **Allocative inefficiency** due to budget constraints.

Section G2. Consequences of KA Deficit (benefits via hot money depreciation)

- **Improved actual growth** via $(X - M)\uparrow$.
- **Reduced cyclical unemployment** as exports become price-competitive.
- **Self-correcting BOP** as FDI in export-oriented industries rises.

Section H1. Consequences of KA Surplus (benefits via FDI inflows)

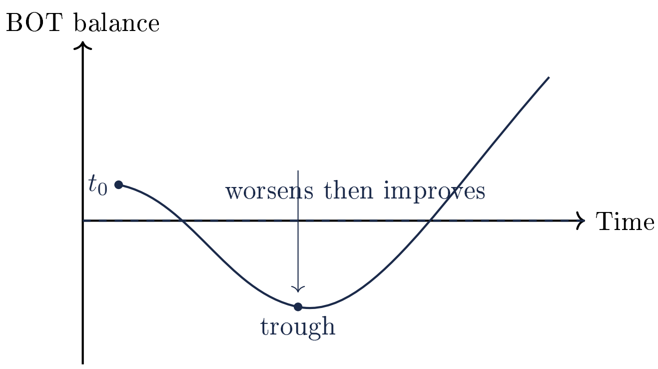
- **Improved sustained growth**: $I\uparrow$, LRAS→, accumulation of FX reserves.
- **Reduced demand-pull and cost-push inflation**.

- **Improved cyclical unemployment**.
- **Improved allocative efficiency** via budget surplus.
- **Higher material and non-material SOL**.

Section H2. Consequences of KA Surplus (costs via hot money appreciation)

- **Worsened actual growth** via $(X - M)\downarrow$.
- **Volatility and reduced profitability** in export sectors discourages I.
- **Worsened cyclical unemployment**.
- **FDI repatriation of profits** worsens income flows in CA.
- **Worsened material and non-material SOL**.

Section I. Diagram — J-Curve (depreciation timeline)



Marshall-Lerner condition. A depreciation improves BOT only if $|PED_x| + |PED_m| > 1$. Short-run: contracts can be priced in foreign currency; volume responses lag. Long-run: Marshall-Lerner typically holds.

Section J. Singapore Context

- Persistent current account **surplus** of 15–20% of GDP, recycled via GIC and Temasek.
- NIRC contributes >20% of Budget.
- Trade-to-GDP >300%, 27+ FTAs (CPTPP, RCEP, USSFTA, EUSFTA).
- Singapore retains 90+% food and 100% energy imports → structural deficit on goods, surplus on services (financial, transhipment).

NOTE: Framework reproduced word-for-word from the Crucible Education Centre handout.